

Assets (Money) Laundering Prevention Act, 2008

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Asset (Money) Laundering Prevention Act, 2064

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Amending Acts

1. Asset (Money) Laundering Prevention
(First Amendment) Act, 2068 2068.02.18
2. Asset (Money) Laundering Prevention
(Second Amendment) Act, 2070 2070.12.12
3. Some Nepal Acts Amendment Act, 2072 2072.11.13
4. Some Nepal Acts Amendment Act, 2075 2075.11.19
5. Asset (Money) Laundering Prevention and Business
Environment Promotion Related Some Acts Amendment Act, 2080 2080.12.30

Act No. 24 of the year 2064 made by the Legislature-Parliament

An Act made to prevent money laundering

Preamble: Whereas, it is expedient to make legal provisions relating to the prevention of amended by the Second Amendment. laundering of property obtained from criminal activities and the financing of terrorist activities,

Therefore, the Legislature-Parliament has enacted this Act. Chapter-1

Preliminary

1. Short Title, Extent and Commencement: (1) This Act may be called the "Asset (Money) Laundering Prevention Act, 2064". Amended by the Second Amendment.(2) This Act shall apply throughout Nepal and shall also apply to any person, whether within or outside Nepal, who commits an offense relating to money laundering and financing of terrorist activities.

(3) This Act shall come into force immediately. Amended by the Second Amendment.2. Definitions: Unless the subject or context otherwise requires, in this Act,-

Amended by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some Acts Amendment Act, 2080.(a) "Investigation Officer" means an officer authorized to conduct investigation pursuant to Section 15, and the said term shall also include such team if a team is formed for investigation.

(b) "Senior Foreign Official of an International Organization" means a director, manager, director, deputy director or a person having or having been entrusted with a responsibility equivalent thereto, who has been given high management responsibility of an international organization.

Amended by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some

Acts Amendment Act, 2080.(c) "Terrorist Act" means an act which is deemed to be an offense relating to terrorist acts under the prevailing law.

(d) "Terrorist Person" means a natural person who commits any of the following acts:

- (1) unlawfully and intentionally, directly or indirectly, by any means, committing or attempting to commit a terrorist act,
- (2) participating as an accomplice in committing a terrorist act,
- (3) organizing or directing others to commit a terrorist act, or
- (4) providing assistance or contribution to a group that has a collective objective of committing a terrorist act for committing a terrorist act, knowing that the group commits or intends to commit a terrorist act, or knowing that the assistance or contribution made by him/her promotes the terrorist act.

(e) "Terrorist Organization" means any organized or unorganized group or organization of terrorists which engages in any of the following:

- (1) unlawfully and intentionally, directly or indirectly, by any means, committing or attempting to commit a terrorist act,
- (2) participating as an accomplice in committing a terrorist act,
- (3) organizing or directing others to commit a terrorist act, or
- (4) providing assistance or contribution to such a group for committing a terrorist act, knowing that the group having a collective objective of committing a terrorist act commits or intends to commit a terrorist act, or knowing that the assistance or contribution made by him/her promotes the terrorist act.

Added by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some Acts Amendment Act, 2080.(e1) "Proliferation Financing" means the investment of assets or funds for the act of developing, manufacturing, producing, purchasing or selling, distributing, using, possessing, acquiring ownership, transferring, storing, stockpiling, transporting or managing, exporting or importing, or causing to do so, of any nuclear, chemical, biological (bacteriological) or toxic weapons, contrary to the prevailing law.

(f) "Politically Exposed Person" means a domestic politically exposed person, a foreign politically exposed person or a senior official of an international organization, and the said term shall also include a person of the class specified by the Government of Nepal by publishing a notice in the Nepal Gazette on the recommendation of the Coordination Committee.

(g) "Correspondent Banking" means an arrangement under which one financial institution provides banking services to its customer through another financial institution.

(h) "Proceeds of Crime" means any kind of property obtained or acquired directly or indirectly from money laundering related offenses or predicate offenses, and the said term shall also include other property or financial benefit accrued from such property, or property or benefit transferred or converted partially or fully in any manner.

(i) "Instrumentalities Related to Offense" means instrument, property or any other tool used or sought to be used in any manner partially or fully to commit money laundering related offenses or predicate offenses.

(j) "Transaction" means an agreement made for purchasing, selling, distributing, transferring, investing,

possessing or using property or conducting any other economic or commercial activity, or any of the following acts:

- (1) establishing a business relationship,
- (2) opening an account,
- (3) depositing or collecting funds, making payments, payment orders, exchange or transfer of funds, through electronic or any other means, through any kind of currency or instrument,
- (4) using any kind of safe deposit (locker),
- (5) establishing a fiduciary relationship,
- (6) making or receiving payment in full or in part based on any legal or contractual obligation,
- (7) making or receiving payment based on a game involving winning or losing on the basis of lottery, bet or chance,
- (8) establishing or registering a legal person or legal arrangement,
- (9) performing any other act specified by the Government of Nepal by publishing a notice in the Nepal Gazette.

(k) "Legal Arrangement" means an express trust or other legal arrangements of a similar nature.

(l) "Legal Person" means a company, corporation, cooperative organization or any other organized entity, and the said term shall also include a private firm, partnership or non-governmental organization.

(m) "Fund" means any kind of property, financial asset, economic resource or means, tangible or intangible, movable or immovable, physical or non-physical added by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some Acts Amendment Act, 2080. or natural, electronic or digital, obtained in any manner or accrued therefrom, and the said term shall also include legal documents, instruments, certificates or any instrument evidencing title or interest over such property or instrument or resource, whether electronically or in any other form:

- (1) Bank loans,
- (2) Traveler's cheques,
- (3) Bank cheques,
- (4) Money orders,
- (5) Shares,
- (6) Securities,
- (7) Bonds,
- (8) Drafts,
- (9) Letters of credit,
- (10) Any other economic or financial resource.

(n) "Designated Non-Financial Business or Profession" means a professional or business person engaged in any of the following business activities:

- (1) Casino or internet casino business operator,
- (2) Real estate purchase or sale business operator,

Added by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some Acts Amendment Act, 2080.(2a) Vehicle sales business operator or business operator providing loans for purchasing such vehicles,

(3) Business operator dealing in specified precious metals or goods,

(4) Notary public, auditor, accountant or other business person performing similar nature of work, when performing, preparing for, or engaging in the following acts on behalf of their client or party:

(a) Real estate purchase or sale,

(b) Management of client's money, securities or other assets,

(c) Management of bank, savings or securities related activities,

(d) Management of contributions and investments made during the establishment or operation of a legal person,

(e) Creation, establishment, registration, amended by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some Acts Amendment Act, 2080. accounting, revenue, financial or business advice or operation, management of a legal person or legal arrangement,

Added by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some Acts Amendment Act, 2080.(e1) Auditing for the purpose of Section 7dha., or

(f) Purchase or sale of any business organization.

(5) Company or trust service provider who professionally provides the following services when performing, preparing for, or engaging in the following acts on behalf of their client or party:

(a) Acting as an agent for the establishment, registration or management of a legal person or legal arrangement,

(b) Acting as a partner, director, secretary or similar officer of a legal person or arranging for another person to do so,

(c) Providing a registered office, address or place professionally to a legal person or legal arrangement or undertaking correspondence for the same,

(d) Acting as a trustee of a legal arrangement or other legal arrangements of a similar nature or nominating a trustee or arranging for another person to do so, or

(e) Acting as a shareholder on behalf of any person pursuant to the prevailing law or performing or causing to perform acts through any other person.

(6) Other professionals or business operators specified by the Government of Nepal by publishing a notice in the Nepal Gazette.

(o) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.

(p) "Bearer Negotiable Instrument" means a monetary instrument including traveler's cheque, cheque, promissory note or money order, and other negotiable instruments, whether in complete or incomplete form, which is in bearer form, in a fictitious name, can be used by the bearer without anyone's authority, or payment can be received by whosoever receives it.

Added by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some Acts Amendment Act, 2080.(p1) "Directive Committee" means the Directive Committee pursuant to Section 7ba.

(q) "Regulatory Body" means an institution established pursuant to the prevailing law to regulate or supervise reporting entities, and the said term shall also include the regulatory body specified by the Government of Nepal pursuant to sub-section (2) of Section 7na.

(r) "Currency" means Nepali currency or foreign currency.

(s) "National Bank" means the Nepal Rastra Bank established pursuant to the prevailing law.

(t) "Public Servant" means a person deemed to be a public servant pursuant to the prevailing law.

(u) "Beneficial Owner" means a natural person who ultimately owns or controls, can direct or influence, directly or indirectly, a customer, transaction, property, legal person or legal arrangement, or is the ultimate beneficiary or owner.

(v) "Financial Intelligence Unit" means the Financial Intelligence Unit pursuant to Section 9.

(w) "Financial Institution" means a person who professionally performs the following acts for or on behalf of its customer:

(1) Accepting deposits or receiving other funds from the public payable,

(2) Performing private banking activities,

(3) Granting any kind of loan,

(4) Performing financial leasing activities excluding consumer goods,

(5) Transferring currency or value (value transfer), except acting as an intermediary or other auxiliary service provider in the payment chain,

(6) Issuing or managing electronic or any other kind of payment instruments including cheques, drafts, money orders, debit cards, credit cards,

(7) Providing financial guarantees or commitments,

(8) Dealing in the following instruments:

(a) Money market instruments including cheques, bills, certificates of deposit, derivatives,

(b) Foreign exchange,

(c) Instruments based on exchange rates, interest rates or other similar values or amounts,

(d) Transferable securities, or

(e) Instruments related to commodities markets.

(9) Issuing securities or providing related financial services,

(10) Managing single or collective portfolios,

(11) Managing cash or liquid assets or managing safe deposit (locker) on behalf of other persons,

(12) Underwriting and placement of life insurance and other investment related to insurance,

(13) Exchanging money or currency,

Added by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some Acts Amendment Act, 2080.(13a) Investment company, equity fund or similar entity performing such activities

for the purposes of Sections 7kha., 7gha., 7ta., 7dha. and 10ka.,

(14) Investing, administering and managing funds on behalf of other persons, except the acts mentioned in sub-clauses (1) to (13), or

(15) Performing acts specified by the Government of Nepal by publishing a notice in the Nepal Gazette.

(x) "Foreign Politically Exposed Person" means a foreign head of state, head of government, senior politician, central office bearer of a national level political party, senior administrator, senior judicial officer, senior security officer and senior official of a state-controlled institution or a person having or entrusted with such responsibility.

(y) "Department" means the Asset Laundering Investigation Department pursuant to Section 11.

(z) "Person" means a natural person or a legal person.

(aa) "Suspicious Transaction Report" means the report pursuant to Section 7gha.

(ab) "Shell Bank" means a financial institution or a group of financial institutions that does not have a physical presence in the country where it is incorporated or licensed, or is not within the scope of effective regulation and supervision.

Explanation: For the purposes of this clause, the presence of a local representative or lower-level employee shall be deemed not to constitute physical presence. Added by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some Acts Amendment Act, 2080.(ab1) "Coordination Committee" means the Coordination Committee pursuant to Section 7bha.

(ac) "Offense Relating to Money Laundering and Financing of Terrorist Activities" means an offense under Chapter-2.

(ad) "Predicate Offense" means an offense listed in the Schedule.

(ae) "Property" means any kind of property, tangible or intangible, movable or immovable, material or immaterial, fund or any object or instrument of value, and the said term shall also include any kind of document, instrument, certificate or electronic or other instrument establishing title, interest, claim or right over the same.

(af) "Reporting Entity" means a financial institution or a designated non-financial business or profession. Amended by Some Nepal Acts Amendment Act, 2075.(ag) "Domestically Prominent Person" means the President, Vice-President, Prime Minister, Chief Justice, Speaker of the House of Representatives, Chairperson of the National Assembly, Provincial Chief, Minister of the Government of Nepal, Chief Minister of the Provincial Government, Member of the Federal Parliament, Office bearer of a Constitutional Body, Speaker of the Provincial Assembly, Minister of the Provincial Government, Officer of Special Class or equivalent or above of the Government of Nepal, Judge of the High Court or above, Deputy Speaker of the Provincial Assembly, Member of the Provincial Assembly, Central office bearer of a national level political party, Chairperson and Vice-Chairperson of the District Coordination Committee, Mayor and Deputy Mayor of a Municipality, Chairperson and Vice-Chairperson of a Rural Municipality, Senior official of an entity wholly or partially owned by the Government of Nepal, or a person having or entrusted with such responsibility. Amended by the Second Amendment.## Chapter - 2

Offenses Relating to Money Laundering and Financing of Terrorist Activities

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4. Prohibition of Financing of Terrorist Activities: (1) No person shall, with unlawful intent, wilfully, directly or indirectly, by any means, provide or collect property or funds, knowing that they are to be used, or may be used, in whole or in part, by a terrorist, a terrorist organization amended by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some Acts Amendment Act, 2080. or a foreign terrorist fighter, for a terrorist act.

(2) No person shall amended by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some Acts Amendment Act, 2080. counsel, facilitate, abet, aid or attempt to commit any act referred to in sub-section (1).

(3) No person shall, directly or indirectly, by any means, provide material support or resources, or conspire to do so, to a terrorist, a terrorist organization amended by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some Acts Amendment Act, 2080. or a foreign terrorist fighter, for committing a terrorist act.

(4) No person shall commit any of the following acts in relation to any act referred to in sub-section (1), (2) or (3):

(a) Acting as an accomplice to commit such act,

(b) Organizing or directing other persons to commit such act, or

(c) Wilfully contributing to the promotion of criminal activity or the achievement of such objective by a group of persons who commit or have a collective objective of committing such act.

(5) Financing of terrorist activities shall be deemed to have occurred in relation to the acts mentioned in this section, even if any of the following circumstances exist:

(a) No terrorist act occurred or was attempted,

(b) The property or funds were not actually used in any terrorist act or attempt thereof,

(c) The property or funds are not linked to any specific terrorist act,

Added by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some Acts Amendment Act, 2080.(c1) Property or funds were provided, directly or indirectly, for travel or other similar expenses for a person traveling from one country or place to another country or place for the purpose of preparing, planning, participating in, or training for committing or causing to commit a terrorist act,

(d) The terrorist act or the intended terrorist act occurs or is to occur in the country or territory where the act took place or was intended, or elsewhere,

(e) amended by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some Acts Amendment Act, 2080.

The terrorist, terrorist organization or foreign terrorist fighter is present or not present in the country or territory where the person committing such act is located, or is present elsewhere, or

(f) The property or funds were collected or provided from any lawful or unlawful source or means.

(6) If any person commits any act referred to in sub-section (1), (2), (3), (4) or (5), such act shall constitute an offense of financing of terrorist activities. Added by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some Acts Amendment Act, 2080.4a. Deemed to Have Committed an Offense: If a person responsible for complying with or ensuring compliance with any standard issued under

this Act violates or causes to violate such standard with the intention of committing or causing to commit an offense under Section 3, 4 or 5, such person shall be deemed to have committed the offense. 5. Act Committed Abroad Constitutes an Offense: If any act referred to in Section 3 or 4 occurs in a foreign country or territory, and such act also constitutes an offense under the law of that country, then such act shall be treated as if it were an offense relating to money laundering and financing of terrorist activities committed in Nepal. Chapter - 3

Provisions Relating to Customer Identification and Transactions

6. Prohibition of Transaction in Anonymous or Fictitious Name: A reporting entity shall not open an account or conduct or cause to conduct any type of transaction in an anonymous or fictitious name. 7. Prohibition on Establishment or Operation of Shell Banks: (1) No person shall establish or operate a shell bank in or through the territory of Nepal.

(2) No financial institution in Nepal shall establish a business relationship with a shell bank or any financial or other institution that permits a shell bank to conduct transactions, or continue such business relationship. 7a.

Obligation to Identify Customers: (1) A reporting entity shall, subject to sub-sections (3) and (4), properly identify and verify customers based on documents, data or information obtained from reliable sources, when performing the following acts: (a) When establishing a business relationship, (b) When opening an account, (c) When conducting occasional transactions exceeding the prescribed amount, (d) When transferring funds through electronic means (wire transfer), (e) When there is doubt about the truthfulness or adequacy of previously obtained customer identification information requiring further verification, (f) When there is suspicion of money laundering or financing of terrorist activities requiring further verification, (g) When a high-risk customer or politically exposed person conducts each transaction, or (h) When performing any other act specified by the regulatory body. (2) The minimum documents to be obtained from a customer when identifying the customer shall be as prescribed. (3) A reporting entity shall use documents, data or information from independent and reliable sources when identifying and verifying customers under this Chapter. (4) A reporting entity shall adopt the following measures to properly identify and verify its customers: (a) Obtain appropriate information and knowledge about the transaction or business relationship and its purpose or intended nature, (b) If the customer is a natural person, obtain details including name, address and date of birth on the basis of documents prescribed under sub-section (2) among others, (c) If the customer is a legal person or legal arrangement, obtain and verify information and knowledge about its ownership and control structure on the basis of documents prescribed under sub-section (2) among others, (d) If a business relationship or transaction is to be established on behalf of another person, identify and verify the person on whose behalf such relationship or transaction is sought and the person acting on his/her behalf, and obtain documents including power of attorney, (e) Obtain other necessary information and knowledge about the customer, transaction or business type and nature to fulfill obligations under this Chapter, (f) Adopt other measures specified by the regulatory body. (5) Notwithstanding anything contained in sub-section (1), the following reporting entities who are designated non-financial businesses or professions shall not be required to identify and verify the following customers: (a) A casino, of a customer involved in transactions of Two Hundred Thousand Rupees or less in one day, (b) A business operator dealing in precious metals and goods, of a customer involved in transactions of Ten Lakh Rupees or less in one day. (6) The entire responsibility for properly identifying and verifying its customers under this Chapter shall lie with the concerned reporting entity. 7kha.

Special Provisions Relating to Identification of Politically Exposed Persons: (1) A reporting entity shall

establish a risk management system to determine whether its customer or beneficial owner or a person seeking to become a customer is a politically exposed person. (2) A reporting entity shall adopt the following additional measures when establishing a business relationship or conducting transactions with a foreign politically exposed person who is a customer or beneficial owner, or a senior official of an international organization or a domestic politically exposed person who appears to be high-risk due to business reasons: (a) Obtain approval from the senior management official of the reporting entity before establishing the business relationship, (b) If it comes to know that an existing customer is a politically exposed person, obtain approval as per clause (a) immediately, (c) Adopt adequate measures to identify the source of property and funds of the customer or beneficial owner, (d) Continuously monitor the business relationship or transaction with the customer, (e) Adopt enhanced customer due diligence measures pursuant to Section 7nga. (3) The provisions under sub-sections (1) and (2) shall also apply to family members and associated persons of a politically exposed person. 7ga. Obligation to Identify Beneficial Owner: (1) A reporting entity shall adopt necessary and reasonable measures to identify and verify the beneficial owner when establishing a business relationship or conducting a transaction. (2) A reporting entity shall ascertain whether any person is conducting or not conducting activities related to establishing a business relationship or transaction on behalf of any other person. (3) If upon ascertaining under sub-section (2), it appears that a person has established a business relationship or conducted a transaction on behalf of another person, the reporting entity shall adopt measures as per clause (d) of sub-section (4) of Section 7a for identifying and verifying such person. 7gha.

Obligation to Identify, Assess and Manage Risk: (1) A reporting entity shall identify and assess risks relating to money laundering and financing of terrorist activities based on its country, geographical area, business or profession, field of operation, customer, service or product, transaction and distribution channel among others. (2) While identifying and assessing risks under sub-section (1), the reporting entity shall also base its assessment on the national risk assessment or risk assessment conducted by the regulatory body. (3) When assessing risks under sub-section (1), the reporting entity shall analyze all risk-related aspects and determine the level of risk. (4) A reporting entity shall maintain written records of all details, information and conclusions obtained relating to the risk assessment conducted under this Section. (5) A reporting entity shall periodically conduct the risk assessment under sub-section (1) and update it as necessary. (6) A reporting entity shall make the records under sub-section (4) available to the concerned regulatory body, and shall also make such records available to other concerned bodies if requested. (7) A reporting entity shall arrange for necessary policy, procedural and control measures to identify, manage and mitigate risks in accordance with the level of risk identified under this Section, and shall update such arrangements from time to time. (8) A reporting entity shall regularly monitor whether the policy, procedural and risk management arrangements under sub-section (7) have been implemented. 7nga. Provisions Relating to Enhanced Customer Due Diligence: (1) A reporting entity shall adopt appropriate measures for enhanced customer due diligence when establishing a business relationship or conducting transactions with the following customers: (a) A customer identified as high-risk from the risk assessment conducted under Sections 7gha., 7pa. and 35, (b) A customer conducting complex, large or unusually patterned transactions where the economic or legal purpose is not clear, (c) A customer from a country internationally identified as not complying or only partially complying with international standards on preventing money laundering and financing of terrorist activities, (d) A politically exposed person and family members and associated persons or customers of such person, (e) A customer conducting transactions under sub-section (1) of Section 7dha., (f) A customer using high-risk new products or services, (g) A customer suspected of being involved in money laundering, financing of terrorist activities or any other offense, or (h) Other customers specified by the regulatory body. (2) When conducting enhanced customer due diligence for customers under sub-section (1), the reporting entity shall also adopt additional measures

determined by the regulatory body. (3) Other provisions relating to enhanced customer due diligence shall be as prescribed. 7cha.

Provisions Relating to Simplified Customer Due Diligence: (1) A reporting entity may adopt simplified customer identification and verification measures for customers or transactions where the risk of money laundering and financing of terrorist activities appears low. (2) Simplified customer identification and verification measures under sub-section (1) shall not be adopted in the case of high-risk customers, transactions, or transactions suspected of money laundering and financing of terrorist activities. (3) Other provisions relating to simplified customer identification and verification shall be as prescribed. 7chha.

Provisions Relating to Identification of Existing Customers: (1) A reporting entity shall review the customer identification and verification and its adequacy in respect of existing customers who are operating accounts or have an existing business relationship at the time of commencement of this Section, and identify and verify such customers and beneficial owners under this Chapter based on the type and nature of such customers and beneficial owners, business relationship, transaction, product or service, country or geographical area or risk of distribution system. (2) The period for identifying and verifying customers under sub-section (1) shall be as specified by the regulatory body. 7ja.

Time for Customer Identification: (1) A reporting entity shall identify and verify the customer and beneficial owner before opening an account or establishing a business relationship, while the business relationship exists, and when conducting occasional transactions. (2) Notwithstanding anything contained in sub-section (1), if the following circumstances exist, the reporting entity may complete the verification of customer identity as soon as possible but within a maximum of three days amended by the Asset (Money) Laundering Prevention and Business Environment Promotion Related Some Acts Amendment Act, 2080. after establishing the business relationship or conducting the transaction: (a) If the reporting entity is satisfied that identity verification can be completed at any time practically, (b) If it is not practically possible to verify customer identity immediately due to practical reasons, and verification would disrupt the normal conduct of business and such disruption does not appear necessary, and (c) If circumstances exist that allow effective management of the risk relating to money laundering and financing of terrorist activities. (3) Notwithstanding anything contained in sub-section (2), the reporting entity shall verify the identity of the customer and beneficial owner under sub-section (1) in respect of the following customers and transactions: (a) If the customer appears to be a high-risk or politically exposed person or a family member or associated person of such person, or (b) If the activities of the customer appear suspicious. 7jha.

Ongoing Monitoring: A reporting entity shall conduct ongoing due diligence on the customer, beneficial owner or transaction by performing the following: (a) Conducting scrutiny throughout the business relationship to ensure that transactions are consistent with the information held about the customer, their business or risk profile, (b) Requesting or examining the source of assets from the customer if necessary for scrutiny under clause (a), (c) Reviewing and updating existing documents and information to ensure that documents and information relating to politically exposed persons or high-risk customers and others, and their business relationships, transactions and beneficial owners are kept up to date, (d) Regularly monitoring cross-border correspondent banking and wire transfer related transactions and customers, (e) Performing other acts as specified by the regulatory body, and (f) Performing other acts deemed appropriate by the reporting entity itself. 7ña.

Customer Identification and Verification Through Third Parties: (1) A reporting entity may have certain customer identification and verification activities performed by a third party under the following circumstances: (a) If the reporting entity is satisfied that customer identification and verification will be conducted in accordance with this Chapter, (b) If all documents and information relating to the customer identification and verification required under this Chapter are immediately available to the reporting entity, and (c) If it is ensured that all documents, information and data used for customer identification and

verification will be provided to the reporting entity without delay upon request. (2) Notwithstanding anything contained in sub-section (1), the reporting entity shall not accept customer identification and verification conducted by an entity acting as a third party in the following cases: (a) If such entity is from a country identified as not complying or only partially complying with international standards on preventing money laundering and financing of terrorist activities, (b) If such entity does not have provisions for customer identification and verification under this Chapter, or (c) If such entity is not within the scope of regulation, inspection, supervision relating to prevention of money laundering and financing of terrorist activities. (3) Even if customer identification and verification has been conducted by a third party under sub-section (1), the ultimate responsibility for customer identification and verification under this Chapter shall lie with the reporting entity. 7ta.

Provisions Relating to New Technologies or Non-Face-to-Face Customers or Transactions: (1) A reporting entity shall identify and assess risks relating to money laundering and financing of terrorist activities that may arise from existing or new products and business practices, non-face-to-face customers or transactions, delivery systems or new or developing technologies. (2) Identification and assessment of risks under sub-section (1) shall be conducted before such products, business practices, delivery systems or technologies are brought into use. (3) A reporting entity shall adopt adequate measures to manage the risks identified and assessed under sub-section (1). (4) To address the specific risks relating to money laundering and financing of terrorist activities that may arise when establishing business relationships or conducting transactions with non-face-to-face customers, the reporting entity shall develop and implement policies and procedures for customer identification and verification. 7tha. Obligations Relating to Wire Transfers: (1) Before conducting a wire transfer of any currency or any amount pursuant to the prevailing law, a financial institution shall properly identify and verify the customer by obtaining the following details and information: (a) Name of the originator, (b) Account number of the originator, and in the absence of an account, a unique transaction reference number, (c) Address of the originator, or in the absence thereof, date and place of birth or citizenship number or national identity card number or customer identification number, (d) Name and account number of the beneficiary, and in the absence of an account, a unique transaction reference number, (e) Other details or information specified by the regulatory body.

Explanation: For the purposes of this Section, "Originator" shall also mean the beneficial owner sending the funds through a wire transfer.

(2) The provision under sub-section (1) shall also apply to wire transfers that are bundled in a batch file.

(3) The provisions under sub-section (1), and the provisions under sub-section (1) or (2) shall not apply to wire transfers resulting from the purchase of goods or services using a debit card, credit card or prepaid card where the transaction details are visible on the card, and to wire transfers between financial institutions to their own accounts.

(4) A financial institution may not conduct customer identification and verification under sub-section (1) if the originator or beneficiary is its existing customer, if the transaction appears not to pose an offense risk, and if the financial institution is satisfied that the customer's identity has been properly identified and verified.

(5) A financial institution may not obtain details or information under clause (c) of sub-section (1) when conducting a wire transfer of Seventy-Five Thousand Rupees or less.

(6) A financial institution shall ensure that the details under sub-section (1) are included with the payment message of the wire transfer to the financial institution in the payment chain or the paying financial institution.

(7) Any financial institution in Nepal acting as an intermediary or payor in a wire transfer shall ensure that the details under sub-section (6) have been received.

(8) If the necessary documents or details under sub-section (7) are found to be missing, the financial institution shall request them from the sending financial institution or the financial institution in the payment chain.

(9) If the requested details under sub-section (8) cannot be obtained, the financial institution in Nepal acting as payor or intermediary may suspend, reject or make payment of such wire transfer based on policies and procedures under sub-section (10).

(10) A financial institution in Nepal conducting wire transfer transactions pursuant to the prevailing law shall develop and implement risk-based policies and procedures regarding monitoring, inquiry, suspension, rejection, identification of beneficial owner and beneficiary, payment, etc. of wire transfers.

(11) When conducting wire transfer transactions, a financial institution shall conduct necessary monitoring to ascertain whether the details of the originator or beneficiary under this Section are present.

(12) A financial institution conducting wire transfers of Seventy-Five Thousand Rupees or more shall properly identify the beneficiary when making payment of such amount.

(13) A financial institution sending funds or value via wire transfer, acting as intermediary, or

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????????? ?????? ????????? ?????????? ???? ??? ?????????????? ?????? ???? ?????? ????????? ? 7e.

Obligations of a Reporting Institution: (1) For the implementation of this Act or the rules made under this Act or the directives issued or the instructions given thereunder, a reporting institution shall, based on its country, geographical area, field of operation, size of business, clients, transactions, and risks, formulate and implement policies and procedures relating to the prevention of money laundering and financing of terrorist activities.

(?) ?????? (?) ?????????? ???? ???? ?????????????????? ?????????? ?????????? ?????????? ?????????? ??????????-

(2) The policy and procedure pursuant to sub-section (1) shall include the following matters:?

(?) ?????????? ??????, ?????????????? ?????????, ??????, ?????????????? ??????, ?????????? ?????????? ???? ?????????????
????????????? ?????????? ???? , ?????????? ??? ?????????????? ?????????????? ??????????,

(a) Provisions relating to internal policies, procedures and controls regarding client identification, business relationship, monitoring, transaction information, record keeping and other obligations,

(?) ?????????? ?????????? ?????????????? ??????????,

(b) Provisions relating to ongoing monitoring,

(?) ?? ?? ?? ?? ?? ?????????? ?????? ???? ?? ???? ???? ?????????????? ?? ?????????????? ?????? ?????? ??
????????? ??????????,

(c) Provisions to comply with or cause compliance with this Act or the rules made under this Act or the directives issued or instructions given thereunder,

(?) ????? ?????? ????? ?????? ?????? ?????? ?????? ?????? ?????? ??????
?????????,

(d) Adequate provisions on procedures including on employee recruitment to maintain high-integrity employees,

(?) ????????????? ?????? ?????? ?????? ??? ????????????? ?????????? ??????????,

(e) Provisions relating to regular training and refresher training for employees,

(?) ??? ?????????? ?????????? ?????? ??????, ?????????, ????????????? ??? ?????? ?????????? ??????
???????????? ??????????,

(f) Effective provisions for independent monitoring, inspection, auditing and updating of records of work operations,

(?) ?????????? ?????????? ?????? ??? ?????????? ?????????? ??????????,

(g) Provisions relating to identification and reporting of suspicious transactions,

????????? ?????????? (??? ?????????????) ?????? ??? ????????????? ?????????? ?????????? ?????????? ?????
????? ?????? ?????? ??,???? ?????? ?? ? (??) ??? ??., ?? ? ?? ? ?? ?????????? ??? ?? ??????????
???????????? ?????????? ?????????? ?????? ????????????? ?????? ??????????,

Added by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2080.(g1) Provisions for exchanging information with the concerned institution in the course of work or transactions related to Sections 7j, 7th and 7d,

????????? ?????????? (??? ?????????????) ?????? ??? ????????????? ?????????? ?????????? ?????????? ?????
????? ?????? ?????? ??,???? ?????? ?? ? (??) ?????????? ?????????? ?????????? ??? ??????????
???????????? ?????? ? ?????? ?????????? ?????????? ?????? ????????????? ?????????? ??????????,

Added by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2080.(g2) Provisions relating to risk management regarding the verification of client identity and the use and compliance of terms of business relationship,

(?) ?? ?? ?? ?? ?? ?????????? ?????? ????? ?? ????? ?????? ????????????? ?? ?????? ?????????? ??????????
????????? ?????? ????? ? ?????? ?????????????????? ?????????????? ?????? ?????? ?????? ?????? ??????????, ?

(h) Other provisions necessary to fulfill the obligations pursuant to this Act or the rules made under this Act or the directives issued or instructions given thereunder and to evaluate its effectiveness, and

(?) ?????????? ?????????? ?????????? ?????? ?????????? ? (i) Other provisions as prescribed by the regulatory body.

(?) ?? ?? ?? ?? ?? ?????????? ?????? ????? ?? ????? ?????? ????????????? ?? ?????? ?????????? ??????????
????????? ?????????? ?????? ?????? ?????? ?????? ?????????? ?????????????? ?????????? ?????????????? ??????????
(????????????????? ??????) ?????????? ?????? ?????? ? (3) To continuously fulfill the obligations pursuant to this Act or the rules made under this Act or the directives issued or instructions given thereunder, a reporting institution shall appoint a management-level compliance officer.

(?) ?????? ?????????? ?????? (?) ?????????? ?????????????????? ?????????????? ?????????? ???, ?????????? ? ?????????? ???
????? ?????? ?????????? ?????? ?????? ?????????? ?????? ?????????????? ?????? ??????????-

(4) The reporting institution shall ensure that the compliance officer pursuant to sub-section (3) has the following duties, responsibilities and powers and the necessary means and resources are available for the same:?

(?) ????? ????? ?????????? ?????????? ?????? ???? ???? ??????, ????? ????? ? ???? ?????????? ?????????? ??? ????? ????????? ??????,

(a) To obtain access to any records, books of accounts and accounting documents necessary in the course of performing his/her duties,

(?) ???? ?????????? ?????????? ?????????????? ???? ?????, ???????, ????? ? ???? ? ? ???? ? ?????? ??????,

(b) To demand and obtain any information, knowledge, details or documents from the concerned employee of the reporting institution,

(?) ?? ?? ?? ?? ?? ?????????? ?????? ?????????? ?? ???? ??????? ?????????????? ?? ?????????????? ?????????????? ???? ??????? ???? ?????? ??????, ?

(c) To carry out other acts necessary for the implementation of this Act or the rules made under this Act or the directives issued or instructions given, and

(?) ?????????? ??????? ??????? ???? ?????? ?????? ? (d) To carry out other acts as specified by the regulatory body.

????????? ?????????? (??? ??????????????) ?????? ??? ?????????????? ??????? ?????????????? ?????????? ???? ?????? ?????? ?????? ??,????? ?????? ?? ? (?) ???? ?????????? ?????????? ?????????? ???? ??????????, ?????? ?????????????, ????????? ? ?????????? ???? ?????????, ???? ?????? ?????? ??? ?????????????? ???? ?????????? ?????? ??????? ??????? ?????? ?????? ???? ? ???? ?????? ?????? ?? ?????????? ??? ??????? ?????? ?????????? ???? ? ?????????????? ?????????? ???? ?????????? ?????? ?

Added by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2080.(5) The reporting institution shall, based on changes in prevailing law, risk assessment, changes in business and technology, changes in methods and trends of committing offences, update the risk-based institutional policy, procedures and action plan at least once annually and more than once if necessary, and submit it to the regulatory body.

????????? ?????????? (??? ??????????????) ?????? ??? ?????????????? ??????? ?????????????? ?????????? ???? ?????? ?????? ?????? ??,????? ?????? ?? ? (?) ???? ?????????? ?? ?? ?????? ?????? ?????? ?????? ??????, ?????????? ??????, ?????????? ?????????? ?????? ??????? ?? ?????????? ?????????? ?????? ??? ?????? ???? ???? ?????????????? ???? ?????????????, ???? ??? ?????????????? ?????????????? ??? ?? ?? ?????? ?????? ?????? ?????? ?????????????? ?????????????? ?????????????? ???? ?????? ?????? ?

Added by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2080.(6) The reporting institution shall make arrangements to also carry out, through electronic means, the client identification, monitoring of transactions, identification of transactions exceeding the prescribed limit or suspicious transactions and the basis thereof, risk assessment and management, implementation of policies and procedures, and other acts required to be done pursuant to this Act.

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in a low-risk sector from carrying out any act under this sub-section through electronic means.

7f. Explanation: For the purposes of this section, "majority ownership" shall be understood as ownership of fifty percent or more.

Obligations of Branch Office or Subsidiary Company: (1) A reporting institution operating in Nepal or abroad within the same group, or a reporting institution establishing a branch office abroad or an institution with majority ownership, shall comply with the provisions relating to the prevention of money laundering and financing of terrorist activities on a group basis in accordance with this Act or the rules made under this Act or the directives issued or instructions given thereunder.

Explanation: For the purposes of this section, "majority ownership" shall be understood as ownership of fifty percent or more.

(?) Explanation: For the purposes of this section, "majority ownership" shall be understood as ownership of fifty percent or more.

(2) The reporting institution pursuant to sub-section (1) shall formulate and implement group policies and procedures including the following matters relating to prevention of money laundering and financing of terrorist activities:

(?) Explanation: For the purposes of this section, "majority ownership" shall be understood as ownership of fifty percent or more.

(a) Exchanging information on client identification and verification and risk management relating to money laundering and financing of terrorist activities,

(?) Explanation: For the purposes of this section, "majority ownership" shall be understood as ownership of fifty percent or more.

(b) Exchanging on a group basis information on clients, transactions, accounts, audits, group compliance and programs relating to prevention of money laundering and financing of terrorist activities as prescribed by the regulatory body, and

(?) Explanation: For the purposes of this section, "majority ownership" shall be understood as ownership of fifty percent or more.

(?) Explanation: For the purposes of this section, "majority ownership" shall be understood as ownership of fifty percent or more.

When keeping documents, details and records pursuant to sub-section (1) or (2), the reporting institution shall keep them in such a way that each transaction is clearly visible and can be used as evidence in the course of legal proceedings.

(4) The documents, details and records kept pursuant to this section shall be maintained in a manner that they are immediately available when demanded by an authorized officer.

(5) A reporting institution shall safeguard the suspicious transaction report for five years.

Added by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2080.(5a) The information and details obtained by the reporting institution from the client pursuant to this Act or prevailing law shall be kept confidential, except in circumstances where it is required to be disclosed under prevailing law.

Suspicious Transaction Report to be Submitted: (1) If the following circumstances exist in relation to a client, transaction or property, a reporting institution shall, amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2080. after making an inquiry thereof, immediately submit a suspicious transaction report to the Financial Information Unit:

(a) If any property is suspected to be, or there are reasonable grounds to suspect that it is, related to an offence relating to amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2080. money laundering, terrorist activity or financing of the manufacture and proliferation of weapons of mass destruction, or another offence, or

(b) If any property is suspected to be related to or connected with a terrorist act, a terrorist person or a terrorist organization, or financing of a terrorist act, or is suspected that it may be used in such an act or by such a person or organization, or there are reasonable grounds to suspect so.

(2) A reporting institution shall also submit a suspicious transaction report pursuant to sub-section (1) if the client has only attempted to conduct any transaction.

Added by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2080.(2a) If the reporting institution believes that the client might come to know about the identification, verification or any other such act performed in relation to a client for whom a suspicious transaction is identified under sub-section (1) or (2), the client identification or verification shall be updated after submitting the suspicious transaction report.

(3) Additional bases for identifying suspicious transactions, and the format, method and procedure of the suspicious transaction report shall be as prescribed by the Financial Information Unit.

Added by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2080.7h1.

Regulation and Supervision of Reporting Institution: (1) Regulation and supervision of whether a reporting institution has conducted or not conducted its work operations in accordance with this Act shall be carried out by the regulatory body established pursuant to prevailing law.

(b) If any document, instrument, evidence, or instrument related to the offense of money laundering or financial investment in terrorist activities is found or if there are reasonable grounds to believe so, issue a notice as prescribed, conduct a search of any government agency, regulatory body, reporting entity, person, or any other place, seize and take control of such documents, instruments, evidence, or instruments related to the offense or property derived from the offense by providing a receipt to the concerned person or official,

(c) If a person accused of or involved in the offense of money laundering or financial investment in terrorist activities, or against whom there are reasonable grounds for suspicion thereof, is likely to abscond, destroy or conceal any evidence, or obstruct or adversely affect the investigation proceedings, arrest such person and detain them in custody in accordance with prevailing law,

(d) Obtain information, statements, or explanations from a person who has or is reasonably believed to have information regarding the offense of money laundering or financial investment in terrorist activities,

(e) When obtaining information, statements, or explanations pursuant to clause (d), if it appears necessary to obtain further information from such person, release them on a bond to appear when required or demand bail, and if bail is not provided, detain them in custody with the permission of the adjudicating officer,

(f) For the purpose of freezing or taking control of property derived from the offense or instruments related to the offense pursuant to Section 18, fully and effectively identify, trace, and evaluate such property or instruments,

(g) If it is deemed that any information may be available with a foreign financial intelligence unit, send a

written request to the Financial Intelligence Unit, and

(h) Perform other prescribed functions.

(2) Any person who fails to comply with an order given during the course of an investigation into an offense related to money laundering or financial investment in terrorist activities may, based on the report of the investigation officer, be fined up to five hundred thousand rupees by the head of the investigating office as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024..

(3) Notwithstanding anything contained in subsection (2), if any person is found to have failed to comply with an order issued under Section 18 for freezing property or instruments with the intent to assist in the commission of an offense related to money laundering or financial investment in terrorist activities, there shall be no bar to investigating and prosecuting such person for the offense of money laundering or financial investment in terrorist activities.

17. Detention for Investigation: Amended by the Second Amendment.(1) When detaining a person accused of or involved in the offense of money laundering or financial investment in terrorist activities, or against whom there are reasonable grounds for suspicion thereof, a warrant of detention shall be issued in accordance with prevailing law. Amended by the Second Amendment.(2) When any person is detained for investigation into an offense related to money laundering or financial investment in terrorist activities, the investigation officer shall, excluding travel time, produce the person before the adjudicating officer within twenty-four hours and obtain the permission of such officer to detain them in custody.

(3) When submitting a request for permission to detain under subsection (2), the investigation officer, as amended by the Second Amendment, shall clearly state to the adjudicating officer the accusation against the arrested or detained person, the reason and basis thereof, the content of any statement made by the person, and the reason why investigation needs to be conducted while keeping the person in detention.

(4) Upon a request for detention for investigation under subsection (3), the adjudicating officer shall review the relevant documents and consider whether the investigation is proceeding satisfactorily. If the investigation appears to be proceeding satisfactorily, the officer may grant permission to detain the person for a total period not exceeding ninety days, either at once or in installments not exceeding thirty days each.

(5) When permission for detention is sought under subsection (2), the detained person may submit a petition to the adjudicating officer stating the reasons and grounds why detention is not necessary. Added by the Second Amendment.(6) Where an investigation officer is required to arrest a person, place them in detention, or produce them before an adjudicating officer for extension of the detention period under this Section, the investigation officer shall, prior to doing so, provide information thereof to the head of their office as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024. Provided that, if a person needs to be arrested immediately, the investigation officer may arrest such person immediately and shall provide information thereof to the head of their office as soon as possible as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024. 18.

Added by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024.(1a) If any property or instrument needs to be frozen or kept under control for more than one year pursuant to subsection (1), permission of the court shall be obtained.

(2) If the property or instruments referred to in subsection (1) have been concealed, consumed, alienated, or cannot be frozen or taken control of for any other reason, the investigation officer shall freeze or take control of other property of the person suspected of committing an offense related to money laundering or financial investment in terrorist activities, which may be of equivalent value.

(3) Regarding the freezing or taking control of property or instruments pursuant to subsection (1) or (2), the investigation officer may do the following:

(a) Take control of such property or instruments themselves or issue an order to take control through the relevant government agency; or

(b) Issue an order ex parte, without giving any notice to the concerned person, to freeze such property or instruments, and send a written notification to the concerned body.

(4) Notwithstanding anything contained in subsection (1), the investigation officer may, in the course of an investigation into an offense related to money laundering or financial investment in terrorist activities, order the freezing of the property of a person who fails to appear within the period specified in the notice to appear or within the period of service under Section 40, until such person appears before the investigation officer.

(5) Where a written notice is sent for freezing any property or instrument under clause (b) of subsection (3) or subsection (4), the person, body, or institution receiving or holding such property or instrument in custody shall ensure that no one can transfer, mortgage, pledge, sell, distribute, or conduct any other transaction with or derive any other benefit from such property or instrument.

(6) Before freezing or taking control of property or instruments under subsection (3) or (4), the investigation officer shall inform the head of the investigating office as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024.

Provided that, if any property or instrument needs to be frozen or taken control of immediately in the course of the investigation, the order for immediate freezing or taking control may be issued, and information thereof shall be provided to the head of the investigating office as soon as possible as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024.

(7) If property or instruments are frozen or taken control of under this Section, the investigation officer shall provide written information thereof to the concerned person within three days.

(8) If any person is dissatisfied with the freezing or taking control of property or instruments under this Section, such person may submit a petition to the court specified under subsection (2) of Section 22 for the release of the frozen property or instruments.

(9) Upon receipt of a petition under subsection (8), if the property or instruments under control or frozen under subsection (1) or (4) appear to belong to the petitioner, and if the following conditions exist, the court may order the release of the frozen or controlled property or instruments:

(a) The petitioner is not found to be involved in any offense related to money laundering or financial investment in terrorist activities,

(b) Such property or instruments are not found to be property or instruments derived from any offense related to money laundering or financial investment in terrorist activities, nor are there reasonable grounds for such suspicion, and

(c) Such property or instruments are not found to be related to any other offense committed by the petitioner.

(10) If it appears that any person is attempting to create any contractual or other liability that would adversely affect the confiscation of property or instruments liable to confiscation under Section 34, the investigation officer shall have the authority to take necessary action to prevent such an act or, if it has already been done, to have it annulled.

(11) If the investigation officer takes control of or freezes property or instruments under this Section, a report thereof shall be submitted to the adjudicating officer within seven days from the date of such action.

(12) Upon receipt of a report under subsection (11), the adjudicating officer may issue necessary and appropriate orders in relation thereto.

(13) Other provisions relating to freezing or taking control of property or instruments under this Section shall be as prescribed. Amended by the Second Amendment.19.

Requesting the Concerned Country: (1) While investigating an offense related to money laundering or financial investment in terrorist activities, if it appears that property derived from the offense or instruments related to the offense required to be frozen or taken control of under Section 18 are located in a foreign country, the Department shall immediately send a written request to the concerned country in accordance with the law in force in that country to freeze or take control of such person's property. (2) When sending a written request under subsection (1), the Department shall also specify the details of such person and the location, bank, or financial institution where such person's property or instruments are located, if available.

Added by the Second Amendment.19a. Regular Monitoring of Transactions: (1) The investigation officer may issue a continuous monitoring order to a reporting entity to regularly monitor the transactions of any person under investigation for an offense related to money laundering or financial investment in terrorist activities and to submit reports. (2) An order under subsection (1) shall generally not be issued for a period exceeding three months. (3) If an order is issued under this Section, the reporting entity shall regularly monitor the transactions of the concerned person and send reports relating to such person's transactions as specified by the Department.

Added by the Second Amendment.19b. Freezing Passports or Travel Documents: (1) Notwithstanding anything contained in prevailing law, the investigation officer may send a written request to the concerned authority not to issue a passport or travel document in the name of any person under investigation for an offense related to money laundering or financial investment in terrorist activities, or to freeze such document if it has already been issued. (2) Upon receipt of a written request under subsection (1), the concerned authority shall not issue a passport or travel document in the name of such person if it has not already been issued, and shall freeze such person's passport or travel document if it has already been issued. Amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024.19c.

Adoption of Special Investigation Techniques: (1) An investigating officer may, under the direct supervision of an officer of at least the level of a gazetted second class or equivalent in the investigating office, adopt any or all of the following special investigation techniques while investigating an offense related to money laundering, terrorist activities, or financial investment in the manufacture and proliferation of weapons of mass destruction, or a predicate offense: (a) Controlled delivery, (b) Deployment of informants, (c) Undercover operations, (d) Interception of telephone or other communication media, (e) Arrest waiver for the purpose of gathering further evidence and information, (f) Access to the structure or system of a computer or other electronic device, (g) Other special investigation techniques as prescribed. (2) Prior permission of the court shall be obtained when adopting the techniques under clauses (d) or (f) of subsection (1). (3) Information obtained during the course of an investigation under subsection (1) shall not be used or disclosed for any

purpose other than the investigation and prosecution of that same offense. (4) Other procedures relating to the adoption of special investigation techniques under this Section shall be as prescribed. Amended by the Second Amendment. 20. Requirement for Safe Custody: During the investigation of an offense related to money laundering or financial investment in terrorist activities, the investigation officer shall ensure the safe custody of the property, instruments, and related documents taken control of under this Chapter omitted by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024. . 21. Assistance from Concerned Bodies May Be Sought: (1) In the course of an investigation into an offense related to money laundering or financial investment in terrorist activities, the investigating office, as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024, may seek assistance from any body or public institution as necessary, and it shall be the duty of such body or institution to provide assistance when so requested by the investigating office, as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024. (2) The investigating office, as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024, may also seek the assistance of the Nepal Police in the course of investigating an offense related to money laundering or financial investment in terrorist activities.

When assistance is so requested by the investigating office, as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024, it shall be the duty of the concerned police officer or employee to provide assistance.

(3) If the investigating office, as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024, deems it necessary, based on the nature of the offense under investigation, to consult with or involve any expert working in any body in the investigation, it may request the concerned body to depute such expert for a certain period, and upon such request, notwithstanding anything contained in prevailing law, that body shall make the relevant expert available to the investigating office, as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024. Amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024. 22. Filing of Case: (1) Upon completion of an investigation relating to an offense of money laundering or financial investment in terrorist activities, the investigating officer shall prepare an investigation report in the format prescribed by prevailing law and forward it to the concerned Government Attorney's Office. Provided that, this shall not bar a constitutional body authorized to investigate a predicate offense under prevailing law from filing or causing to file a case in a court authorized by law.

(2) Upon studying the report and case file received under subsection (1), if the evidence collected appears to provide sufficient grounds for prosecution, the Government Attorney shall file the case in the court having jurisdiction over the predicate offense.

(3) If it is found that an offense under this Act has been committed using a legal person or arrangement, a case may be filed against such legal person or arrangement and the concerned natural person(s) who committed or caused the commission of the offense using it as a medium, with separate claims for punishment and confiscation.

(4) In respect of complaints, petitions, information, or notices pending with the Department at the commencement of this Section, the Department may conduct an investigation as the investigating authority under this Act and file a case under this Section. 23. Statute of Limitations: No statute of limitations shall

apply for filing a case relating to an offense of money laundering or financial investment in terrorist activities. 24. Government Party: The case relating to an offense of money laundering or financial investment in terrorist activities shall be a Government of Nepal party. 25.

Bar to Prosecution under Prevailing Law: (1) If an act constituting an offense of money laundering or financial investment in terrorist activities is also punishable under any other prevailing law, a case may also be filed under such other law. (2) Omitted by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024 (3) Added by the Second Amendment Repealed by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024.25a. 26. Confidentiality Not to be Breached: An investigation officer or any employee or person involved in the investigation work shall not breach the confidentiality of any matter or document received or come to their knowledge in the course of an investigation under this Act or in the discharge of their duties as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024, except in circumstances compelled by prevailing law. 27. Automatic Suspension: Amended by the Second Amendment. If any office bearer or employee of an organized institution established under prevailing law, or any public servant, is detained under this Act, such employee, office bearer, or public servant shall be deemed to be automatically suspended for the period of such detention, and if a case is filed against them under Section 22, until the final disposal of that case. 28.

Obligation to Disclose Source of Property: Amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024.(1) In the course of an investigation into an offense of money laundering against any person based on a complaint received under Section 13 or information obtained from any other source by the Department, if upon inquiry under subsection (1) of Section 14a, the predicate offense is not found, but the property of such person appears disproportionate to their source of income or financial situation, or such person appears to maintain an abnormally high standard of living, or appears to have given donations, charity, gifts, loans, subscriptions, or bequests, or conducted transactions beyond their means, the source of such property shall be demanded from them. (2) If, during an investigation by the investigating officer into a complaint filed against any person under this Act, the evidence obtained does not warrant prosecution for any offense, but the property of such person appears disproportionate to their source of income or financial situation, or they appear to maintain an abnormally high standard of living, or have given donations, charity, gifts, loans, subscriptions, or bequests, or conducted transactions beyond their means, or if a large amount of cash or other movable property is found in their possession and there is no trade, business, or regular source of income from which such an amount of property could be earned or obtained, the investigating officer shall forward the complaint case file with their opinion to the Department for necessary action. (3) The person investigated under subsection (1) or (2) shall be required by the Department to disclose the source from which such property was acquired. (4) If, in respect of a person investigated for a predicate offense under prevailing law, circumstances warrant prosecution for the predicate offense or the offense of money laundering under this Act, and the property of such person appears to exceed the property acquired from the offense, a claim for punishment and confiscation regarding the property derived from the offense, along with the charge, and a claim for confiscation regarding the property whose source cannot be disclosed and which exceeds the property acquired from the offense, shall be filed. (5) Property, the source of which cannot be disclosed under subsection (4), shall be confiscated. (6) In cases received under subsection (2) or investigated by the Department itself, when a disclosure of the source of property is required under subsection (3), and the source is not disclosed, and if there are no grounds to prosecute the investigated person for an offense under this Act or prevailing law, the matter shall be forwarded to the Inland Revenue Department for tax

assessment and collection to the extent of the property whose source was not disclosed. (7) Upon receipt of a written communication under subsection (6), the Inland Revenue Department shall determine whether or not a tax offense has been committed.

If no such offense is found, and the person concerned also makes a self-declaration stating that they did not acquire the property by committing any offense, such property shall be treated as income of the current fiscal year, and the maximum tax shall be assessed and collected in accordance with prevailing law. Provided that, if a tax offense is found, the Department shall, if it has the authority to investigate, investigate itself, or if another body is the investigating authority, forward it to that body for investigation.

(8) The name, surname, and address of a person from whom tax is collected under subsection (7) shall be posted on the Department's website, and the details of their income and revenue shall be sent to the Department and the Financial Intelligence Unit.

(9) Notwithstanding anything contained elsewhere in this Section, if property from which tax is collected under subsection (7) or which is confiscated is later found to be derived from an offense, there shall be no bar to action or prosecution under prevailing law.

(10) When a tax officer conducts tax assessment and tax audit, the Inland Revenue Department shall formulate and implement guidelines regarding the conditions to be complied with under this Act relating to the prevention of money laundering, terrorist activities, or financial investment in the manufacture and proliferation of weapons of mass destruction. 29. Bar to Prosecution and Punishment: (1) Nothing contained elsewhere in this Act shall bar the prosecution for either or both of the predicate offense and the offense of money laundering based on evidence obtained during the investigation of a complaint filed under this Act.

(2) The fact that a case has not been filed for the predicate offense under subsection (1), or that a case has been filed but not finally decided, shall not bar the prosecution and punishment for the offense of money laundering. Chapter - 6a

Provisions Relating to Declaration of Currency and Bearer Negotiable Instruments

29a.

Requirement for Declaration: (1) Any person taking out of Nepal or bringing into Nepal, in their possession or through cargo, courier, postal service, or other means, Nepali currency or foreign currency or bearer negotiable instruments of a value exceeding that specified by the Nepal Rastra Bank, shall make a true declaration in writing of such currency or bearer negotiable instruments as prescribed. (2) When making a declaration under subsection (1), if the currency or bearer negotiable instruments are being brought in or taken out in one's possession, the declaration shall be made before the concerned customs officer; if brought in or taken out through cargo, courier, postal service, or other means, the declaration shall be made before the concerned cargo, courier, or postal authority. (3) The operator of a cargo, courier, postal service, or other similar service shall submit the details of the currency and bearer negotiable instruments declared under subsection (2) to the concerned customs officer in the prescribed format. (4) If the declaration made under subsection (1) or (2) or the details submitted under subsection (3) are suspected to be false or inaccurate, the customs officer may require the person concerned to show the currency or bearer negotiable instruments in their possession, or may open the suspected cargo, parcel, or packet. (5) Other provisions relating to the declaration of currency and bearer negotiable instruments shall be as prescribed. 29b. Inquiry, Confiscation, and Punishment: (1) The customs officer may, in the following circumstances, make inquiries regarding the source and intended purpose of the currency or bearer negotiable instruments sought to be taken out of

Nepal or brought into Nepal: (a) If there is suspicion of a false declaration or non-declaration of currency or bearer negotiable instruments, or (b) If there are reasonable grounds to suspect a connection with any predicate offense. (2) If, upon inquiry under subsection (1), it is proven that the currency or bearer negotiable instruments were not declared, or were falsely or incorrectly declared, or are connected to any offense, the customs officer shall confiscate all such currency or bearer negotiable instruments and impose a fine equivalent to the amount involved. (3) When confiscating under subsection (2), the customs officer shall provide information, including the reasons therefor, to the concerned person. 29c.

Obligation to Provide Information: (1) The customs officer shall immediately provide information regarding the details of currency or bearer negotiable instruments suspected under Section 29b to the Financial Intelligence Unit and the concerned authority or officer responsible for investigation and inquiry of the offense. (2) The Customs Department shall send the details of currency or bearer negotiable instruments declared under Section 29b to the Financial Intelligence Unit every month. 29d. Deemed Goods under Customs Act: (1) For the purposes of this Chapter, currency and bearer negotiable instruments shall be deemed to be goods under the prevailing law relating to customs. (2) Other provisions relating to inspection, search, seizure, confiscation, appeal, and proceedings regarding currency and bearer negotiable instruments required to be declared under this Chapter shall be governed by the prevailing law relating to customs. Added by the Second Amendment.## Chapter - 6b. Special Provisions Relating to Freezing of Property and Funds 29e.

Dissemination of Information on Terrorist Persons, Groups, or Organizations: (1) The Ministry of Foreign Affairs shall immediately post on its website the updated list of persons, groups, or organizations listed in accordance with the decisions adopted by the United Nations Security Council regarding the freezing of property or funds of a person, group, or organization involved in terrorist activities or a person, group, or organization making financial investments in the manufacture and proliferation of weapons of mass destruction, as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024, and shall send such information to the Ministry of Home Affairs through electronic means. (2) The Ministry of Home Affairs shall immediately issue an order to freeze the property or funds of the persons, groups, or organizations in the list referred to in subsection (1) in accordance with this Chapter omitted by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024. . (3) The Ministry of Home Affairs shall immediately publish the order issued under subsection (2) and Section 29f, along with the list, on its website. (4) The Office of the Prime Minister and Council of Ministers, regulatory bodies, concerned bodies, the Financial Intelligence Unit, reporting entities, legal persons, and natural persons shall, for the purposes of this Chapter, regularly check the websites for the lists published under subsections (1) and (3) and obtain or cause to obtain updated information about the persons, groups, or organizations mentioned in such lists. 29f.

Listing as Terrorist Persons, Groups, or Organizations: (1) If the Government of Nepal receives a request from any country to freeze the property of a person, group, or organization based on reasonable grounds to suspect their involvement or connection with terrorist activities or financial investment in the manufacture and proliferation of weapons of mass destruction, as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024, the Ministry of Foreign Affairs shall immediately provide such information to the Ministry of Home Affairs. (2) If there are reasonable grounds to believe that a Nepali or foreign citizen or any other person, group, or organization is involved or may be involved in terrorist activities or making financial investments in the manufacture and proliferation of weapons of mass destruction, as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024, within Nepal or in any country outside Nepal, whether on its own initiative or upon a request from a country under subsection (1), the Ministry of Home

Affairs shall conduct the necessary inquiry, as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024. (3) If any person, group, or organization is found to be involved in acts under subsection (2) or Section 4 within Nepal or in any country outside Nepal, or is found to be a person, group, or organization related to any act deemed to be terrorist activities or financial investment in the manufacture and proliferation of weapons of mass destruction, as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024, under prevailing law, the Government of Nepal may list such person, group, or organization in the list of persons, groups, or organizations related to terrorist activities or financial investment in the manufacture and proliferation of weapons of mass destruction, as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024, and issue an order to freeze the property or funds of such persons, groups, or organizations. (4) If the grounds for keeping a person, group, or organization listed under subsection (3) cease to exist, the Government of Nepal may remove the name of such person, group, or organization from that list. (5) If the name of a listed person, group, or organization is removed from the list under subsection (4), the Ministry of Home Affairs shall immediately publish such information on its website. 29g.

Immediate Freezing of Property and Funds: (1) Natural persons, legal persons, concerned bodies, or reporting entities shall, without prior notice, immediately freeze the property or funds of a person, group, or organization involved in terrorist activities or making financial investments in the manufacture and proliferation of weapons of mass destruction, as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024, listed in the roster under Sections 29e and 29f. (2) When freezing under subsection (1), the following property and funds in their possession shall be frozen immediately: (a) All property or funds owned, possessed, or controlled, directly or indirectly, singly or jointly, by such person, group, or organization, (b) Property or funds accrued or derived from property or funds under clause (a), (c) Property or funds of any person, group, or organization acting on behalf of or under the direction of such person, group, or organization. (3) When freezing property or funds under this Section, such property or funds shall be frozen in a manner that prevents their transfer, creation of or subjection to lien or pledge, sale, distribution, or transaction, except in accordance with the procedures and conditions specified in this Act or the Rules framed under this Act. (4) Natural persons, legal persons, concerned bodies, and reporting entities shall ensure that the property or funds, financial resources, or financial or other related facilities frozen under subsections (1) and (2) are not used, directly or indirectly, singly or jointly, or for the benefit of the persons, groups, or organizations referred to in Sections 29e and 29f. (5) The details of property or funds frozen under subsections (1) and (2) shall be forwarded by natural persons, legal persons, and concerned bodies to the Office of the Prime Minister and Council of Ministers, as amended by the Act to Amend Some Nepal Acts, 2018, and by reporting entities to their regulatory body, within three days from the date of such action. (6) The regulatory body shall forward the details received from the reporting entity under subsection (5) to the Office of the Prime Minister and Council of Ministers, as amended by the Act to Amend Some Nepal Acts, 2018, within three days. Added by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024.(6a) The integrated record, management, and preservation of property or funds frozen under this Chapter shall be carried out by the Criminal Assets Management Department established under prevailing law. (7) Other provisions relating to the freezing of property or funds under this Chapter shall be as prescribed. 29h.

De-listing or Release of Property and Funds: (1) A person, group, or organization whose name is included in the list under Section 29e or 29f may submit a petition to the Ministry of Foreign Affairs regarding the list under Section 29e, and to the Ministry of Home Affairs regarding the list under Section 29f. (2) If property or

funds have been frozen under Section 29g, the person, group, or organization related to the list under Section 29e may submit a petition to the Ministry of Foreign Affairs, and the person, group, or organization related to the list under Section 29f may submit a petition to the Ministry of Home Affairs, for the release of such property or funds or concerning other adverse effects suffered by them. (3) Upon receipt of a petition under subsection (1) or (2), the concerned ministry shall conduct or cause to conduct the necessary inquiry. If the petition relates to a person, group, or organization listed in the roster published under Section 29e, the Ministry of Foreign Affairs shall forward it to the United Nations; if it relates to a person, group, or organization published under Section 29f, the Ministry of Home Affairs shall forward it to the concerned country through the Ministry of Foreign Affairs. (4) If the petition under subsection (1) or (2) relates to the list of persons, groups, or organizations involved in terrorist activities or financial investment in the manufacture and proliferation of weapons of mass destruction, as amended by the Act to Amend Some Acts Related to Prevention of Money Laundering and Promotion of Business Environment, 2024, published by the Government of Nepal itself under Section 29f, the Ministry of Home Affairs shall conduct or cause to conduct the necessary inquiry. If such person, group, or organization is not found to be in the situation described in subsection (4) of Section 29f, or the petitioner is not found to be liable for inclusion in the list under Section 29f, the name of such person, group, or organization shall be Amended by the Second Amendment.³¹

Punishment for Breaching Confidentiality: A person who fails to maintain confidentiality pursuant to sub-section (2) of Section 10B. or who breaches confidentiality contrary to Section 26 shall be liable to imprisonment for a term ranging from one month to three months or a fine of up to one hundred thousand rupees or both. ³².

Punishment for Concealing or Destroying Evidence: A person who conceals or destroys evidence related to acts or activities constituting an offense relating to money laundering or financial investment in terrorist activities shall be liable, according to the gravity of the offense, to imprisonment for a term ranging from one month to three months or a fine ranging from fifty thousand to one hundred thousand rupees or both, and a person who assists in committing such an act shall be liable to half of that punishment. ³³.

Punishment for Obstruction or Resistance: Amended by the Second Amendment.If any person obstructs or resists investigation-related work or proceedings, the officer hearing the case may, based on the report of the investigating officer, impose a punishment of imprisonment for up to six months or a fine of up to five thousand rupees or both. Added by the Second Amendment.^{33A}.

Punishment for Causing Harassment or Annoyance: If it is proven that any person has filed a false complaint with the intent to cause any kind of harm, loss, suffering, harassment or annoyance to someone without having a reasonable cause to file such a complaint, the officer hearing the case may, based on the report of the investigating officer, impose a fine of up to ten thousand rupees on such person. Added by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023.^{33B}.

Not to Conduct Investigation or Prosecution Maliciously: (1) An officer responsible for conducting investigation or prosecution shall not conduct investigation or file prosecution maliciously with the intention of framing an innocent person, causing harm, harassing, or protecting the actual offender. (2) A person who commits or causes to commit an offense under sub-section (1) shall be liable to imprisonment for up to six months or a fine of up to one hundred thousand rupees or both, and shall also be subject to departmental action according to the law relating to the service conditions of such person. Amended by the Second Amendment.³⁴.

Confiscation of Property or Instrumentalities: (1) If an offense relating to money laundering or financial investment in terrorist activities is proven, the following property or instrumentalities, in whose name, possession, ownership, or any kind of interest it may be found, related to the offense shall be confiscated:-
(a) Proceeds of money laundering, (b) Instrumentalities related to the offense used or attempted to be used in

committing an offense relating to money laundering, (c) Property obtained from an offense relating to financial investment in terrorist activities, (d) Property used, set aside for use, or attempted to be used by, or for, financial investment in terrorist activities, or by or for a terrorist person or terrorist organization, and (e) Instrumentalities used or attempted to be used in committing an offense relating to financial investment in terrorist activities. (2) If the property or instrumentalities mentioned in sub-section (1) are concealed, consumed, alienated, belong to an innocent person, or cannot be confiscated for any other reason, other property of the offender of equivalent value shall be confiscated. (3) While confiscating property or instrumentalities pursuant to sub-section (1) or (2), the legal rights of an innocent person not involved in the offense shall be adequately protected. (4) For the purposes of sub-section (3), notwithstanding anything contained in sub-section (1) or (2), the court shall not confiscate the property or instrumentalities of an innocent person not involved in the offense, and any property derived from such property, if the following conditions exist:- (a) If such person is not found to be involved in any offense relating to money laundering or financial investment in terrorist activities, (b) If such property or instrumentalities are not found to be property obtained from the offense or instrumentalities related to the offense, (c) If such property or instrumentalities were acquired before the commission of the offense relating to money laundering or financial investment in terrorist activities, and it appears that the person concerned did not know that such property or instrumentalities could be used in the offense. Added by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023.34A. Compensation for Loss: If any person has suffered harm or loss from an offense under this Act, and the amount of such loss is determined, the amount of such loss shall be recovered from the offender and provided as compensation to the victim. Added by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023.34B.

Compensation for Damage: If any person has suffered damage to body or property due to the commission of an offense under this Act by someone, reasonable compensation for that damage shall be provided to the victim of the offense. Chapter-8 Miscellaneous Amended by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023.35. Risk Assessment Required: (1) Regulatory bodies, investigating agencies, reporting entities, and other bodies related to this Act shall perform risk identification, assessment, and understanding, and prepare a report thereof, not less than once every year, as necessary, regarding money laundering, financial investment in terrorist activities or the manufacture and proliferation of weapons of mass destruction, risky technologies, new dimensions of risk, persons committing such acts, their registration, permission, proceedings, etc. (2) Before conducting the assessment under sub-section (1), the reporting entity shall prepare the assessment methodology and objective basis and submit them to the regulatory body. (3) If the regulatory body finds that the reporting entity's risk assessment report is not objective and effective, it may give necessary directives. (4) The bodies or entities under sub-section (1) shall conduct their sectoral risk assessment and send a report thereof to the Coordination Committee. (5) Based on the reports received under sub-section (4), the Coordination Committee shall prepare a national and sectoral risk assessment report. (6) The bodies or entities under sub-section (1) shall, based on the risk assessment report prepared pursuant to this section, formulate and implement a risk-based annual action plan. (7) Other provisions relating to risk assessment shall be as prescribed. Added by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023.35A.

Submission of Beneficial Owner Details: (1) When any person establishes, registers, or obtains a license for any company, cooperative society, private firm, partnership firm, or any other type of legal entity by investing capital through shares or other means, if such person has, directly or indirectly, or through the name or

medium of another person, singly, jointly, or collectively, invested fifteen percent or more of the shares or capital, or is otherwise the beneficial owner thereof, the details of such beneficial owner shall be submitted to the body responsible for establishing, registering, or licensing the legal entity. (2) Until the details under sub-section (1) are submitted, the concerned body shall not register, establish, or grant the license to such legal entity. (3) A company, cooperative society, private firm, partnership firm registered or licensed pursuant to prevailing law, or a legal entity established by investment through shares or other means as per sub-section (1), shall not issue bearer shares or other financial instruments related thereto. Provided that if a foreign legal entity has issued bearer shares or other financial instruments related thereto according to the laws of its country, information thereof shall be provided to the concerned registering body.

If there is a regulatory body for such legal entity, such information shall also be provided to that body. (4) If a person fails to provide details pursuant to this section or provides false details regarding the beneficial owner, the capital equivalent to the amount for which details were not provided or for which false details were provided shall be confiscated by the regulatory body, or the registering body if there is no such regulatory body, and the beneficial owner thereof shall be fined an amount ranging from one million rupees to five million rupees, and information thereof shall be provided to the Financial Information Unit and the concerned investigating or law enforcement body. (5) The details under sub-sections (1) and (2) shall be regularly updated by the concerned company, cooperative society, private firm, partnership firm, or legal entity established by investment through shares or other means, for five years from the date the beneficial owner status of a person ends, and shall be made available to government or reporting entities upon request, and for others, shall be made available as prescribed. (6) The body registering the legal entity and the regulatory body shall keep records relating to the beneficial owner of such legal entity for at least five years from the date of dissolution of such legal entity. (7) A company, cooperative society, private firm, partnership firm, or legal entity established by investment through shares or other means, existing at the time of the commencement of this section, shall submit the details of the beneficial owner pursuant to this section to the body registering or licensing such legal entity within one year from the date of commencement of this section. Added by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023.35B.

Maintenance of Details of Persons Exercising Actual Control or Deriving Economic Benefit: (1) A domestic or foreign person operating a legal arrangement shall maintain updated details of the natural person establishing or protecting such legal arrangement, the natural person actually controlling such legal arrangement, the person or class deriving high economic benefit from such legal arrangement, or the person providing financial, accounting, tax, or investment management and agency-related services to such legal arrangement, and shall also send an integrated ledger of such details to the concerned regulatory body, if any. (2) The natural person operating a legal arrangement as per sub-section (1) or the natural person exercising actual control over such legal arrangement shall also disclose details relating thereto while becoming a customer of a reporting entity. (3) If there is any change in the details under this section, such legal person shall immediately inform the concerned regulatory body thereof. (4) A legal arrangement or person that fails to provide details, provides false details, or fails to inform the reporting entity under this section, may be fined up to one hundred thousand rupees by the regulatory body. (5) A legal arrangement in operation at the time of the commencement of this section shall submit the details under this section to the regulatory body within one year from the date of commencement of this section. (6) The records under sub-section (1) shall be kept securely for at least five years from the date such person ceases their association with the legal arrangement. Added by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023.35C. **Details to be Maintained:** (1)

Notwithstanding anything contained elsewhere in prevailing law, a legal person under Section 35A. shall keep their details revealing name, address, registration and license, legal form and status, scope of work, regulatory law and body, office bearers of the board of directors or other similar committee, publicly available. (2) If there is a beneficial owner in a legal person under Section 35A., such legal person shall, when becoming a customer of a reporting entity, also disclose the details of such beneficial owner. (3) A legal person that fails to update and keep publicly available the details under sub-section (1), or fails to disclose the details of the beneficial owner under sub-section (2), may be fined an amount ranging from five hundred thousand to five million rupees by the regulatory body, if any, or by the registering body if there is no such body.

Added by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023.35D. Duties of Body Registering or Regulating Non-Profit Organizations: (1) The body responsible for registering, granting affiliation to, or regulating non-profit organizations pursuant to prevailing law shall perform the following tasks relating to the prevention of money laundering or financial investment in terrorist activities or the manufacture and proliferation of weapons of mass destruction:-

- (a) Make necessary arrangements to ensure that the property of the non-profit organization is not used in money laundering or financial investment in terrorist activities or the manufacture and proliferation of weapons of mass destruction, or any other act contrary to this Act,
- (b) Provide suspicious information relating to money laundering or financial investment in terrorist activities or the manufacture and proliferation of weapons of mass destruction to the Financial Information Unit,
- (c) Formulate and implement or cause to implement necessary standards to identify the person or group deriving benefit from the non-profit organization to make its activities transparent and trustworthy,
- (d) Conduct or cause to conduct sectoral and institutional risk assessment and management,
- (e) Conduct or cause to conduct effectiveness-related review pursuant to this Act, with the concerned organization bearing the cost, based on the risk of activities relating to money laundering and financial investment in terrorist activities,
- (f) Conduct inspection, supervision, or monitoring based on risk.

(2) The body responsible for registering or granting affiliation to non-profit organizations pursuant to prevailing law, or the regulatory body for such organizations, may give necessary directives to the concerned non-profit organization regarding the activities under sub-section (1).

(3) It shall be the duty of the concerned organization to comply with the directives given under sub-section (2).

(4) If a non-profit organization fails to comply with the directives given by the body granting affiliation under sub-section (2), the body granting affiliation shall send a communication to the regulatory body of such organization, if any, or to the body registering such organization if there is none, for action.

(5) A non-profit organization that fails to comply with the directives given under sub-section (2) may be fined up to five hundred thousand rupees for the first time and up to one million rupees for each subsequent time by its regulatory body, if any, or by the body registering such organization if there is none. Added by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023.35E.

Compliance Report to be Submitted: (1) Banks and financial institutions, insurance companies, casinos, securities trading entities, entities professionally dealing in real estate, cooperative societies primarily dealing in savings and credit, or reporting entities specified by the Government of Nepal by publishing a notice in the

Nepal Gazette shall, to ensure the suitability and effectiveness of the work to be performed pursuant to this Act, get an review conducted every year by a listed compliance auditor under Section 35CH. on the following matters and submit a compliance report to the regulatory body:- (a) Regarding the necessary policy, institutional, technical, and control structures and their suitability, (b) Regarding risk assessment according to institutional scope, establishment of a risk-based system, and its effectiveness, (c) Regarding implementation of the annual action plan, reporting system, and monitoring, (d) Regarding identification and rectification of deficiencies in risk assessment, policy, institutional, technical, control, implementation structures, and effectiveness, (e) Regarding other matters determined sectorally by the regulatory body. (2) The review under sub-section (1) shall be completed and its report submitted within six months from the date of the end of the fiscal year. (3) If the regulatory body is not satisfied with the report under sub-section (2) or finds it necessary to conduct a detailed review of any reporting entity, it may conduct or cause to conduct a review of any reporting entity at any time, with the concerned reporting entity bearing the cost. Added by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023.35CH. Listing of Compliance Auditor: (1) A person wishing to work as a compliance auditor under Section 35E. shall submit an application for listing to the Financial Information Unit, attaching the details and documents as prescribed. (2) Upon receiving an application under sub-section (1), the Financial Information Unit shall make necessary inquiries and, if it finds the applicant qualified to work as a compliance auditor under Section 35CHH., list the applicant and inform them thereof. (3) If it is not appropriate to list the applicant under sub-section (1), the applicant shall be informed of the basis and reasons thereof. (4) If a person listed as a compliance auditor under sub-section (2) ceases to meet the qualifications under Section 35CHH., they shall not be entitled to work as a compliance auditor, and in such case, the Financial Information Unit shall remove their name from the list. Added by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023.35CHH.

Added by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023.35J. Persons Deemed Disqualified from Being a Compliance Auditor: (1) The following persons shall be deemed disqualified from being listed as a compliance auditor under Section 35CH.:-

- (a) A non-Nepali citizen,
- (b) An insolvent due to inability to pay debts within or outside Nepal,
- (c) A person who has been blacklisted or declared a defaulter in any transaction with a bank, financial institution, or cooperative society within or outside Nepal, and at least five years have not elapsed from the date of removal from such blacklist or default status,
- (d) A sitting director, office bearer, or employee of a reporting entity, regulatory body, or investigating agency,
- (e) A person having a financial interest in a reporting entity, or being a partner in any kind of contract or lease, or having a personal interest,

Provided that for the purpose of this clause, having ownership of less than one percent shares or being a legal advisor or auditor shall not be considered as having a personal or financial interest.

- (f) A person who has not paid taxes due under prevailing law,
- (g) A person convicted by a court for an offense relating to money laundering, financial investment in terrorist activities or the manufacture and proliferation of weapons of mass destruction, other serious offenses, or grave offenses,
- (h) A person who has outstanding sentences or fines to be paid or served according to a court verdict.

(2) Notwithstanding anything contained in sub-section (1) and Section 35CHH., it shall not be deemed to prevent the reporting entity itself or the regulatory body, in special circumstances, from conducting or causing

to conduct a special compliance audit or risk assessment by domestic or foreign experts as prescribed, or jointly, of any reporting entity.

(3) Before having a compliance audit conducted under Section 35E., the reporting entity shall have an independent review of its risk assessment conducted by a compliance auditor under Section 35CH. or a Nepali expert in risk. Provided that if for any specific reason such review or compliance audit has to be conducted by a foreign expert, it shall not be prevented subject to informing the regulatory body. Added by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023.35JH.

Duties, Functions, and Powers of the Compliance Auditor: The duties, functions, and powers of the compliance auditor conducting the review of a reporting entity under Section 35E. shall be as follows:- (a) To gain access to any details and documents of the reporting entity, (b) To obtain necessary information from any office bearer or employee of the reporting entity, (c) To comply with the directives or guidance given by the Financial Information Unit and the regulatory body regarding the review, or to use information given regarding the reporting entity in the course of the review, (d) To exercise the duties, functions, and powers available to an external auditor under prevailing law, (e) To submit the following reports within the end of the Nepali month of Poush each year to the following bodies:- (1) The review report to the board of directors or head of the reporting entity, (2) The long-form report to the regulatory body, (3) The relevant part of the report relating to transactions exceeding the prescribed limit and suspicious transactions to the Financial Information Unit. (f) To perform other tasks as prescribed relating to conducting reviews. 36. Property to be Released: If property or instrumentalities Amended by the Second Amendment. seized under Section 18 are not found to have been obtained from an offense relating to money laundering or financial investment in terrorist activities, and if a case regarding the offense has not been filed, the Amended by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023. head of the investigating office, based on the report of the investigating officer, or if a case has been filed, the court hearing the case shall order the body that seized such property or instrumentalities to release such property or instrumentalities Amended by the Second Amendment., and upon such order, that body shall release such seized property or instrumentalities Amended by the Second Amendment.. Amended by the Second Amendment.37.

No Punishment for Providing Information: (1) If any act performed by a reporting entity or its office bearer or employee in the course of fulfilling duties under this Act appears to be contrary to financial or professional confidentiality under prevailing law, such person shall not be deemed to have violated prevailing law to the extent of fulfilling their duties under this Act. (2) If a government body, reporting entity, or any office bearer or employee thereof has provided any report, document, record, notice, or information in good faith in the context of complying with this Act or the rules framed under this Act or the guidelines issued or directives given under this Act, such office bearer or employee shall not be deemed to have breached confidentiality, administrative or regulatory duties, or contractual obligations under prevailing law, and shall not be subject to any civil, criminal, administrative, or disciplinary action or punishment. 38. Auction Sale Permissible: (1) If any property or instrumentalities Amended by the Second Amendment. taken under control Amended by the Second Amendment. in relation to an offense relating to money laundering or financial investment in terrorist activities appear likely to rust, deteriorate, or be damaged due to other constraints, spoil or decay, lose value due to aging, or cannot be maintained or kept due to lack of space if kept for a long time, such property or instrumentalities Amended by the Second Amendment. may be sold by auction after completing the procedure under prevailing law. (2) The proceeds from the auction held under sub-section (1) shall be

deposited in a deposit account, and if it is later determined that such property or instrumentalities Amended by the Second Amendment. should be returned to the concerned person, only the amount received from the auction sale shall be returned to such person. 39. Departmental Action against Employees Involved in Investigation: If an investigating officer or any employee of the Department, while conducting an investigation or other work related to an offense relating to money laundering or financial investment in terrorist activities, knowingly performs any act with the intent to cause suffering, harassment, or annoyance to anyone, then, notwithstanding anything contained in prevailing law, such employee Amended by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023. if the head of the office, shall be subject to departmental action by the concerned authority, and if other employee, by the head of the office. 40.

Provisions Relating to Service of Notice: (1) Notwithstanding anything contained in prevailing law, when a notice needs to be served in the name of a foreign person in an offense relating to money laundering or financial investment in terrorist activities, if such person has any kind of office or representative within Nepal, the notice shall be served in the name of such office or representative, and the notice served in this manner shall be deemed to have been duly served. (2) If there is no office or representative under sub-section (1), the notice shall be served at the principal place of business of such person, or at the address of their permanent residence, or at any address given by them for correspondence at the time of the transaction, through telex, telefax, or other means of telecommunication capable of producing a record, or by registered post, and the notice served in this manner shall be deemed to have been duly served. (3) Notwithstanding anything contained in sub-section (1) or (2), if any treaty to which the Government of Nepal or Nepal is a party contains a separate provision for serving notice in the name of a person residing abroad, this section shall not be deemed to prevent service of notice according to that provision. 41. Publication of Notice: When sending a notice or serving a notice in the name of a person pursuant to this Act or other prevailing law, if a report is received that such notice could not be delivered or served due to the address of such person not being found or for any other reason, then, notwithstanding anything contained in prevailing law, a public notice shall be published at least twice in a national level newspaper (in an English daily in the case of a foreigner) giving a thirty-day deadline to appear, including a brief description of the matter if an investigation has been conducted or a case has been filed before the officer hearing the case, and upon such publication of notice, such person shall be deemed to have been duly notified or served with notice, notwithstanding anything contained in this Act or other prevailing law. Amended by the Second Amendment. 42. Interpretation of Intent: The interpretation of the intent, knowledge or purpose of a person accused of an offense relating to money laundering or financial investment in terrorist activities shall be made objectively based on factual circumstances. 43. Proceedings and Disposal of Case Not Hindered: Notwithstanding anything contained in prevailing law, the proceedings and disposal of a case under this Act shall not be hindered even if the accused or defendant dies before or after the filing of the case. 44.

Amended by the Second Amendment. 44A. Prohibition on Disclosing Information or Intelligence: (1) A reporting entity or its office bearer or employee shall not inform a customer or any other person about providing, having provided, or intending to provide the following reports, documents, records, notices, or information relating to an offense concerning money laundering or financial investment in terrorist activities or a predicate offense:-

- (a) Report relating to suspicious transactions or report relating to transactions at or above the threshold determined under this Act,
- (b) Report relating to an order for continuous monitoring of transactions under Section 19A.,
- (c) Documents, records, or information provided to the Financial Information Unit, investigating officer,

relevant authority under prevailing law for investigating offenses, or regulatory body,

(d) Any other details or information provided by the reporting entity pursuant to this Act or rules made under this Act or directives issued or given under this Act, or

(e) Identifying details of the office bearer or employee providing the reports, documents, records, notices, or information under clauses (a) to (d).

(2) The Department, investigating officer, or any employee of the Department, or any body or official investigating offenses under prevailing law, shall not disclose to anyone information or reports, documents, records, or information received from the Financial Information Unit or a reporting entity, or information that could reveal or might reveal the identity of the Financial Information Unit, reporting entity, or its office bearer or employee providing such information, concerning an offense relating to money laundering or financial investment in terrorist activities or a predicate offense.

(3) Details or matters that should not be disclosed under this section shall not be mentioned even in judicial proceedings.

(4) A person acting contrary to this section shall be punished by the following authorities as follows:-

(a) The regulatory body may impose a fine of up to one million rupees on a bank, financial institution, or casino,

(b) The regulatory body may impose a fine of up to two hundred thousand rupees on a non-financial professional or business,

(c) If the reporting entity is an organized entity, such entity may take departmental action against its office bearer or employee according to its governing law,

(d) Notwithstanding anything contained in the prevailing law relating to the formation and operation of the service, the head of the Department, investigating officer, or employee of the Department, or official authorized to investigate offenses under prevailing law, may be subject to departmental action by the concerned authority,

(e) Notwithstanding anything contained in the prevailing law relating to the formation and operation of the service, the head or employee of the Financial Information Unit may be subject to departmental action by the concerned authority.

Amended by the Second Amendment.44B. Special Provisions on Confidentiality: (1) Documents, records, details, notices, or information that are required to be kept confidential under prevailing law shall not be deemed confidential for the purposes of performing their functions under this Act by the investigating officer or the Financial Information Unit, notwithstanding anything contained in the prevailing law related to such matters.

(2) For the purposes of sub-section (1), if the investigating officer or the Financial Information Unit requests specifying the purpose, the concerned body, office bearer, or person shall provide such documents, records, details, notices, and information.

(3) Other provisions regarding the requesting of documents, records, details, notices, or information required to be kept confidential under prevailing law by the investigating officer or the Financial Information Unit, and the provision of such documents, records, details, notices, or information, shall be as prescribed. Amended by the Second Amendment.44C. Transactions Required Through Financial Institutions or Banking Instruments: (1) The Government of Nepal may, in consultation with the Nepal Rastra Bank, by publishing a notice in the Nepal Gazette, make provision that the purchase, sale, or other transactions of any service or goods of a value equal to or exceeding the price so prescribed shall only be conducted through financial

institutions or banking instruments.

(2) It shall be the duty of all concerned to conduct and cause to conduct the purchase, sale, and other transactions of goods or services mentioned in the notice under sub-section (1) through financial institutions or banking instruments, and not in cash. Added by the First Amendment.44D. Minimum Expenses May be Provided: (1) Amended by the Second Amendment.If during the investigation of an offense relating to money laundering or financial investment in terrorist activities or during the proceedings of a case, all property of a person has been seized under this Act, and there is no other means or source for the livelihood of such person and other persons dependent on them, the court may order the investigating office to provide from the seized property the property necessary for the minimum livelihood of such persons. Amended by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023.

(2) If an order under sub-section (1) is issued, the investigating office shall provide such property to such person. Amended by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023. Added by the First Amendment.44E.

Computer Processed Records May be Taken as Evidence: (1) Notwithstanding anything contained in prevailing law, for the purposes of this Act, records processed and developed through electronic means may be taken as evidence, unless proven otherwise. (2) Necessary provisions regarding obtaining, analyzing, or processing records, details, and data may be made as prescribed. Added by the Second Amendment.44CH. Information to be Provided to the Ministry of Foreign Affairs: If the Department, regulatory body, or Financial Information Unit Added by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023. or other concerned body establishes an understanding with any body of a foreign country performing similar functions regarding the exchange of international cooperation, information thereof shall be provided to the Ministry of Foreign Affairs as soon as possible. Added by the Act to Amend Some Acts Relating to the Prevention of Money Laundering and Promotion of Business Environment, 2023.44CHH. May Formulate Standards: The Government of Nepal may formulate and implement necessary standards regarding the exchange of international cooperation, other than mutual legal assistance provided according to law in relation to financial crime control. 44J. Report to be Submitted: (1) A reporting entity performing activities under this Act shall prepare an annual report including a review of its activities conducted throughout the year and submit it to the regulatory body within two months of the end of the fiscal year. (2) The regulatory body, investigating agency, and other concerned bodies shall prepare an annual report including a review of their activities conducted throughout the year in the format determined by the Coordination Committee and send it to the said Committee through the concerned Ministry within three months of the end of the fiscal year. (3) While preparing the report under sub-section (2), the regulatory body shall include the subjects of the report submitted by the reporting entity under sub-section (1) in a concise and integrated manner. (4) Based on the reports received under sub-section (2), the Coordination Committee shall prepare an annual report and submit it to the Steering Committee. (5) Based on the report under sub-section (4), the Steering Committee shall finalize the annual report and submit it to the Government of Nepal, and the Government of Nepal shall submit such report to the Federal Parliament. 45.

Awarding of Reward: (1) Any person who provides a tip-off or files a complaint regarding the commission of an offense relating to money laundering or financial investment in terrorist activities and assists in the investigation or collection of other evidence related thereto, shall be given a reward equivalent to ten percent of the recovered damage amount established upon proving the offense, or ten lakh rupees, whichever is lower. (2) If there is more than one person under sub-section (1), such amount shall be distributed

proportionally. 46. Power to Frame Rules: The Government of Nepal may frame necessary rules to implement the objectives of this Act. Added by the Second Amendment. 47. Power to Issue Directives: The Government of Nepal may frame and issue necessary directives for the effective implementation of this Act or rules made under this Act, or to enforce international standards relating to the prevention of money laundering and financial investment in terrorist activities. Schedule (Relating to Clause (sh) of Section 2)

Predicate Offenses 1. Any of the following offenses under prevailing law:- (a) Relating to participation in an organized criminal group and racketeering, (b) Relating to terrorism, including terrorist acts, (c) Relating to any kind of human trafficking and smuggling, (d) Relating to any kind of sexual exploitation, including child sexual exploitation, (e) Relating to illicit trafficking in narcotic drugs and psychotropic substances, (f) Relating to illicit trafficking in arms and ammunition, (g) Relating to illicit trafficking in stolen or other goods, (h) Relating to corruption and bribery, (i) Relating to fraud, (j) Relating to forgery, (k) Relating to counterfeit coins or currency, (l) Relating to counterfeiting and piracy of products, (m) Relating to the environment, (n) Relating to murder and causing grievous bodily harm, (o) Relating to kidnapping, illegal detention, or hostage-taking, (p) Relating to theft or robbery, (q) Relating to smuggling (including customs, excise,